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A CONTINUATION OF THE DEBATE OVER *MONEY AND TOTALITY*

Fred Moseley

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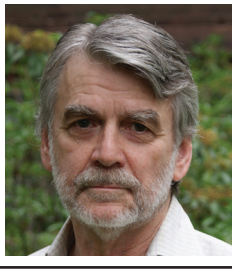

Abstract: This paper is a reply to David Laibman's latest paper critical of my 2016 book *Money and Totality: A Macro-Monetary Interpretation of Marx's Logic in* Capital *and the End of the "Transformation Problem*." This paper responds to the following points: did I misstate Laibman's position in my previous paper?; the logical priority of the production of surplus-value over the distribution of surplus-value (i.e., the prior determination of the total surplus-value); different starting points: quantities of money capital (Marx) vs. quantities of physical inputs and outputs (Sraffa); is Marx's theory "monetary"?; and (most importantly) is my interpretation of Marx's theory logically incoherent? I argue that Laibman's criticism of logical incoherence is based on the usual fundamental misinterpretation of Marx's transformation of values into prices of production—as a transformation from one set of micro prices (the values of individual commodities) to another set of micro prices (the prices of production of individual commodities). To the contrary, I argue that the logic of Marx's transformation is from *macro* total price to *micro* individual prices of production and that this macro-to-micro transformation is logically coherent, so there is *no transformation problem in Marx's theory of prices of production.*

Key words: Marx; macro; monetary; transformation problem

I very much appreciate David Laibman's continued critical discussion of my book *Money and Totality*. Even though we disagree, I think our discussion has been productive and has helped to clarify the issues; I hope readers will agree. I also appreciate the willingness of the editors of *World Review of Political Economy* (WRPE) to publish this dialogue so that we can go deeper on some of these issues.

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In this article, I will respond to the following points: did I misstate Laibman's position in my previous article?; the logical priority of the production of surplus-value over the distribution of surplus-value (i.e., the prior determination of the total surplus-value); different starting points: quantities of money capital (Marx) vs. quantities of physical inputs and outputs (Sraffa); is Marx's theory "monetary"?; and (most importantly) is my interpretation of Marx's theory logically incoherent?

First there is a very brief review of the main points of my interpretation.

Macro-monetary Interpretation

There are two main points in my "macro-monetary" interpretation of Marx's theory and the theory of prices of production in particular:

1. There are two main levels of abstraction in Marx's theory—the *production* of surplus-value in Volumes 1 and 2 (i.e., the determination of the *total surplus-value* produced in the economy as a whole) and the *distribution* of surplus-value in Volume 3 (i.e., the division of the total surplus-value into individual parts, first the equalization of the rate of profit across industries and then the further division of the total surplus-value into commercial profit, interest, and rent).

The "transformation problem" is usually interpreted (including by Laibman) as a transformation of *individual* labor-values to *individual* prices of production. But that is not what Marx's theory of prices of production is about; Marx's theory is about the transformation of *total* prices and *total* surplus-value to *individual* prices of production and the *individual* parts of surplus-value. The standard interpretation misses entirely the all-important primary macro aspect of Marx's theory and logical method, and the determination of the total surplus-value prior to its distribution. The "transformation problem" is essentially a *disaggregation problem*, not a transformation of individual labor-values into individual prices.

2. The logical framework of Marx's theory is the circuit of money capital, expressed symbolically as: $\mathbf{M - C \ldots P \ldots C' - M'}$, where $\mathbf{M' = M + \Delta M}$. The general formula for capital focuses Marx's theory on the most important phenomenon that Marx's theory is intended to explain: where does the total ΔM come from and what determines its magnitude? The quantities of M and ΔM in this circuit are *actual* quantities of money capital in all three volumes of *Capital*, not hypothetical quantities of money capital in Volumes 1 and 2 (= values) that later would have to be transformed into actual quantities of M and ΔM in Volume 3.

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I argue further that the logical structure of the circuit of money capital suggests that the actual money capital M advanced at the beginning of the circuit is *taken as given* both in the macro theory of the total ΔM and in the micro theory of prices of production. The initial quantity of money capital M *exists as a definite quantity* at the beginning of the circuit, prior to production and the sale of the output, and this pre-existing quantity of money capital (divided into constant capital and variable capital; M = C + V) is taken as given, as initial data, in both levels of abstraction. The only difference with respect to C and V in the two levels of abstraction is the level of aggregation: the total actual C and V are taken as given in the macro theory of the total surplus-value and the individual quantities of actual C and V are taken as given in the micro theory of prices of production. Since the *same quantities* of C and V are taken as given in both levels, that is why there is no transformation problem in Marx's theory; that is, why Marx did *not* "fail to transform the inputs"—because no such transformation of the inputs of C and V is necessary or appropriate in Marx's theory.

A brief algebraic summary of my interpretation is presented in Section 3 below.

I turn now to a reply to Laibman's (2018b) latest paper.

1. Misstatement of Laibman's Position?

The main statement of mine that Laibman (2018b, 411) objects to is the following, which he quotes on his latest paper:

> Laibman argues that Marx's theory is logically incoherent (the well-known "transformation problem") and that Sraffa's theory is the only coherent theory of prices and income distribution . . . (Moseley 2018, 149)

My statement was based on the following sentence in Laibman's previous paper (which I quoted on my previous paper [Moseley 2018, 159]):

> [T]he Sraffa price system . . . is in fact the *only coherent account* of prices, wages, and profits on offer in economic theory. (Laibman 2018a, 27; emphasis added)[1]

If Sraffa's theory is "the only coherent theory," then doesn't it follow that Marx's theory must be incoherent?

However, I acknowledge that Laibman argued elsewhere that Marx's treatment of the transformation problem is *not incoherent*, it is just *incomplete*; and he went on to discuss the virtues of the iterative interpretation of Marx's theory, which he has adopted from Shaikh. I argued in my previous reply that the iterative interpretation *does not depend on the labor theory of value* because *any arbitrary numbers*

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could be substituted for labor-values as the initial prices and the final relative prices of production and rate of profit *would be the same*. Prices of production and the rate of profit in the iterative interpretation depend instead on the physical quantities of inputs and outputs that remain the same in all iterations. Laibman did not comment in his latest paper on this inessential nature of labor-values in the iterative interpretation of Marx's theory.

In any case, I sent a draft of this reply to Laibman before submitting it to the WRPE, in order to make sure that there are no misunderstandings.

2. Methodological Issues

2.1. Logical Priority of the Production of Surplus-Value over the Distribution of Surplus-Value (i.e., Prior Determination of the Total Surplus-Value)

Laibman objects to my interpretation of the priority of production over distribution and argues instead that there is a reciprocal relationship between the two. Laibman argues that production has an "ontological priority" over distribution, but not a quantitative causal priority, because distribution also affects the quantity of surplus-value produced.

The main point about the priority of production over distribution in my interpretation (as stated in the passage that Laibman [2018b, 413], quoted from me on his latest paper) is that within a given period,

> the *total surplus-value* produced in the economy as a whole is determined *logically prior* to the *division* of the total surplus value into individual parts. (emphasis in the original)

With respect to the determination of the general rate of profit and prices of production, the logical causal priority of production over distribution means that the total surplus-value is determined by total surplus labor ($S = m\ L_s$), which is then presupposed in the determination of the general rate of profit ($R = S / C+V$), which in turn is presupposed in the determination of prices of production ($P_i = C_i + V_i + R\ M_i$).

In Chapter 3 of my book, I presented 80 pages of textual evidence from all four drafts of *Capital* to support this interpretation of the determination of the total surplus-value logically prior to its distribution. The direction of logical causation in all these drafts is clearly and consistently from the total surplus-value to the individual parts. The distribution of surplus-value in a given period may have an effect on the total surplus-value in future periods, but in a given period the total surplus-value is predetermined by surplus labor and presupposed in the theory of the distribution of surplus-value in that period. Laibman does not dispute any of

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this substantial textual evidence. Indeed, in his previous paper Laibman stated that "*the main body of Marx's thoughts on prices of production is entirely in line with the MMI interpretation*" (2018a, 30; emphasis added).

I also mentioned in my previous reply that the logical sequence from the total surplus-value to the individual parts follows directly from the labor theory of value and surplus-value. According to Marx's theory, all the individual parts of surplus-value come from the *same source*—the surplus labor of production workers. Therefore, the total surplus-value must be determined first—by surplus labor—and then this total surplus-value is divided into the individual parts which also depend on other factors (such as the equalization of the profit rate). Laibman also did not respond to this important connection between the labor theory of value and the prior determination of the total surplus-value.

Laibman also stated,

> It should come as no surprise that even a figure of Marx's intellectual stature would come to this understanding [reciprocal relation between production and distribution] by stages, embracing, first, the linear view, and later, with the maturation of the theory, the complete, interactive view; moreover that the same progression should appear in his presentation and teaching of his theory. (2018b, 414; brackets added)

But Laibman does not provide *any* textual evidence to support this speculative interpretation. Volume 3 of *Capital* (written in 1864–1865) is the last full draft of Marx's theory of the distribution of surplus-value. And it is clearly presumed throughout Volume 3 that the total surplus-value is *presupposed*, as determined in Volumes 1 and 2 (see my book, Moseley 2016, 85–107).

In addition, I have discovered recently that Marx wrote 35 pages in the *Manuscript of 1867–68* (Marx [1867–1868] 2012) on the subject of an extension of his theory of prices of production to allow for unequal turnover times across industries.[2] An English translation of these 35 pages is in process and will be published in *Historical Materialism*.[3] These 35 pages begin with the heading: "*Allgmeine Profitrate gegeben*" (General rate of profit given). These words are a succinct expression of the determination of the total surplus-value and the general rate of profit prior to prices of production.[4,5]

Even Steedman and other critics of Marx agree that Marx *tried* to determine the total surplus-value and rate of profit prior to prices of production, but they argue that Marx did not succeed because he *failed to transform the inputs of constant capital and variable capital from values to prices of production* (see Steedman 1977, 43–45). So that brings us to the second main (and most controversial) point of my macro-monetary interpretation of Marx's theory—the monetary part.

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2.2. Different Starting Points: Money Capital (Marx) vs. Physical Inputs and Outputs (Sraffa)

Laibman protested,

> I must say that I cannot accept the claim that Marx's method "starts with" money capital (in contrast to Sraffa, who "starts" with production data). (2018b, 413)

Instead, Laibman argued that Marx's Chapter 1 is very much like the opening chapters of Sraffa's book, and that Sraffa's Chapter 3 is about

> the transition in which the wage share falls from unity and a rate of profit therefore arises can be seen as posing the question, what is the source of the ΔM?—the central inquiry of Marx's Chapters 4 to 6. (2018b, 413)

What I mean by different "starting points" in this discussion is *different initial givens* in the two theories. In Marx's theory of the total ΔM, the initial givens are the initial *quantities of money capital* (**M**) that are advanced at the beginning of the circuit of money capital (and also the total quantity of current socially necessary labor-time).Chapter 4 of my book presents 100 pages of textual evidence to support this monetary interpretation of the initial givens in Marx's theory. In Sraffa's theory of relative prices and the rate of profit, on the other hand, the initial givens are *physical quantities of inputs and outputs* (**A**, **x**) (and the wage share).

Marx's Chapter 1 not only derives abstract labor as the *substance of value* and socially necessary labor-time as the *magnitude of value* (in Sections 1 and 2), but also derives *money* as the necessary *form of appearance of value* (in the very important but usually neglected Section 3); and this derivation of money lays the groundwork for the definition of capital as *money that becomes more money* in Chapter 4 (the title of Part 2 is "The Transformation of *Money* into Capital"). In striking contrast, there is *no money* in Sraffa's opening chapters, including in Chapter 3 (indeed the word money appears only *once* in the entire book on page 33). A theory without money cannot be a theory of ΔM.

Laibman also asks: why is different starting points a *problem*? It is a problem because the Sraffian interpretation of the initial givens in Marx's theory (as physical quantities) is a *misinterpretation* of Marx's theory. And this misinterpretation of Marx's logical method results in an erroneous evaluation of the logical consistency of Marx's theory. After all, the transformation problem has to do with the *logical consistency* of Marx's theory, and thus an evaluation of logical consistency should be based on a correct understanding of Marx's own logical method, including Marx's own initial givens (quantities of money capital and labor), not a logical method that is fundamentally different from Marx's, with different initial givens

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(physical quantities of inputs and outputs). The latter procedure is the theoretical equivalent of a cop planting evidence on an innocent person and then charging the innocent person with a crime.

2.3. Is Marx's Theory "Monetary"?

This question is of course related to the previous section. Laibman also said,

> Yes, for reasons of presentation, Marx begins his discussion of the nature and source of surplus value by setting forth a formula in which *money* is the visible starting point: M–C–M'. But to call this a *monetary* theory is like suggesting that all printed books are "**ink theories,**" [!] because the words in which thoughts are expressed are shown as splotches of ink on paper. (2018b, 414; italicized emphasis in the original, bold emphasis and brackets added)

I argue that the circuit of money capital is not just a medium or mode of expression with no theoretical significance. As discussed above, the circuit of money capital is the overall logical framework of Marx's theory of surplus-value (ΔM). The title of Marx's book is of course *Capital*, and the concept of *capital* is defined clearly and emphatically in Chapter 4 of Volume 1 ("The General Formula for Capital") in terms of *money*—as *money that becomes more money*. Marx's basic theory of ΔM is presented in Chapter 7 of Volume 1, and he triumphantly expressed his monetary conclusion as follows:

> 27 shillings have been turned into 30 shillings; a surplus-value of 3 shillings has been precipitated. The trick has at last worked: *money has been transformed into capital*. ([1867] 1977, 301; emphasis added)

This is the sense in which Marx's theory is a monetary theory—that the main phenomenon explained by Marx's theory is ΔM and the transformation of money into capital.

3. Is Moseley's Macro-Monetary Interpretation Logically Incoherent?

This is the most important issue. The main focus of Laibman's criticism of the logical incoherence of my interpretation of Marx's theory is whether or not the inputs of constant capital and variable capital are supposed to be (or have to be) transformed in Marx's theory of prices of production. This has of course been the main issue in the long debate over the transformation problem ever since Bortkiewicz. Laibman summarized his criticisms succinctly as follows:

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> But the conclusion seems inescapable: Moseley's two-stage story is logically incoherent, in the following precise sense: it requires us to imagine that (1) input goods (and therefore goods in general) have **two different sets of prices** of production *at the same time*; (2) input prices are prices of production *which means that* **no further transformation is either necessary or possible** (in which case no actual illustration of the principles determining prices of production is supplied); (3) **prices of production are formed in a second stage** *via* profit-rate equalization on the basis of (given) prices of production! (Laibman 2018b, 416–417; italicized emphasis in the original, bold emphasis added)

My responses to these criticisms are the following:

1. It is not possible according to my interpretation for goods to have two different prices of production at the same time. Since the economy is assumed to be in long-run equilibrium, the prices of inputs = prices of outputs and all goods have only one price—their *long-run equilibrium price*. I don't understand why Laibman thinks to the contrary.
2. Laibman argues that since I assume that the prices of inputs are equal to prices of production, no transformation of values of outputs into prices of production is necessary or possible; the transformation has already occurred and there is nothing left to transform or to explain.

However, Laibman's argument presumes that the transformation of values into prices of production is a transformation from one set of *micro* variables—the *values* of individual commodities—to another set of *micro* variables—the *prices of production* of individual commodities.[6] But as I discussed above and explained at length in my book, Marx's transformation is not from micro values to micro prices of production, but is instead from *macro* variables—total price and total surplus-value in the economy as a whole—to *micro* variables—prices of production and average profit in each industry. As stated above, the "transformation problem" in Marx's theory is really a *disaggregation* problem.

If Marx's transformation is from *micro* to *micro* (as Laibman interprets), then the two micro prices do indeed *have to be different* to begin with in order for a transformation to be "necessary and possible." However, if Marx's transformation is from *macro* to *micro* (as I have argued), then the micro prices can be the same at both levels of abstraction—and indeed they are the same—the actual long-run equilibrium prices of individual commodities in the actual capitalist economy—and therefore no transformation of the micro prices is necessary or appropriate. The micro prices are *abstracted from* at the macro level of abstraction (or one could say the micro prices are "out of focus" at the macro level of abstraction), and

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then the micro prices are *determined* at the micro level of abstraction ("in focus"). There is still a transformation to be made in Volume 3, but it is a macro to micro transformation, not a micro to micro transformation. And the inputs of C and V do not need to be transformed because the same actual quantities of C and V are taken as given in both levels of abstraction.

Laibman argues that my interpretation faces an unavoidable "either/or" dilemma:

> Simple logic—not "Marx's" or "Sraffa's" or "Moseley's" or "Laibman's" logic, just standard formal logic as such . . . says: *either* the input prices are prices of production, in which case there is no "second stage" and the formation of production prices cannot be illustrated; *or* they are not. (2018b, 416; emphasis in the original)

Actually, Laibman's argument proves the opposite of what he intends. His argument *presumes* that the logic of Marx's transformation is from one set of micro prices to another set of micro prices. In terms of this micro to micro logic, there is indeed an "either / or" choice that has to be made. However, I argue that the logic of Marx's transformation is not from micro values to micro prices of production but is instead from macro total prices to micro individual prices, and in terms of this macro to micro logic there is no "either / or" choice that has to be made. Therefore, whether or not there is this logical problem in Marx's theory *depends on one's interpretation of the logical method of Marx's theory*. It is not a matter of "simple logic"; rather it is a matter of two different kinds of logic and in particular two different logical relations between total quantities and individual quantities.

Laibman also claims (in the passage quoted above) that my interpretation supplies "no actual illustration of the principles determining prices of production" (2018b, 417), but that is not true. I hope I have made it clear in my book (especially the algebraic summary in Chapter 2) that the principles in my interpretation that determine the total surplus-value at the macro level and the prices of production of individual commodities at the micro level are the following:

AT THE MACRO LEVEL

$$\Delta M = S = P - K \tag{1}$$

$$K = C + V \qquad \text{C and V given (actual)} \tag{2}$$

$$P = C + N \qquad N = m\,L_c \tag{3}$$

$$S = (C + N) - (C + V)$$

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$$S = N - V = m(L_c - L_n) = m\,L_s \tag{4}$$

$$R = S / (C + V) \tag{5}$$

All these variables are macroeconomic variables. At the macro level, the prices of production of individual commodities are abstracted from,

AT THE MICRO LEVEL

$$P_i = (C_i + V_i)\,(1 + R) \qquad C_i \text{ and } V_i \text{ given (actual)}$$

$$\Sigma C_i = C$$

$$\Sigma V_i = V \tag{6}$$

At the beginning of the micro level, the determination of the prices of production of individual commodities remains to be done and it is accomplished by this equation.

3. As just explained with the algebra, Marx's theory of prices of production is *not* based on given prices of production but is instead based on *given quantities of money capital*—the actual quantities of constant capital and variable capital that are advanced at the beginning of the circuit of money capital in each industry (see C_i and V_i in equation 6). The initial quantity of money capital M *exists as a definite quantity* at the beginning of the circuit, prior to production and the sale of the output, and this pre-existing quantity of money capital (M = C + V) is taken as given, as initial data, in the theory of prices of production. In other words, prices of production are determined by *given costs* (and the predetermined rate of profit). Many other economic theories in the history of economics have taken costs as given in order to explain prices (e.g., Smith, Mill, Marshall, Keynes and modern Post-Keynesians). Marx's theory takes costs as given and adds the labor theory of value in order to determine the total surplus-value and individual prices of production (as expressed above algebraically).

The fact that the initial givens in Marx's theory of prices of production are the actual quantities of C and V advanced at the beginning of the circuit of money capital in each industry is another reason that the inputs of C and V are not supposed to be transformed—because the *same actual quantities* of C and V are taken as given in the prior macro theory of the total surplus-value (e.g., $C = \Sigma C_i$ (actual)). If the same quantities of money capital are taken as given in both levels of abstraction, then there is no transformation to be made.

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And the actual quantities of C and V, which are taken as given in both levels of abstraction, are themselves explained in two stages, which I discussed in my previous paper in this debate—first a *partial* explanation of the given actual C and V in the *macro* level of abstraction (C and V depend primarily, but not entirely, on the values of the means of production and means of subsistence) and then a more *complete* explanation of the given actual C and V in the *micro* level of abstraction (C and V also depend on the equalization of the profit rate and are equal to the prices of production of the means of production and means of subsistence) (Moseley 2018, 153–155). I will not repeat this discussion here, but will just elaborate on the second stage—the more complete explanation in the micro level of abstraction.

There are two different meanings of prices of production that need to be clarified. The prices of production of *outputs* as determined in Chapter 9 of Volume 3 (e.g., the tables) could be better described as *total annual industry price*—the total price of all commodities produced in an industry in a year (again see equation 6). Physical quantities and unit prices are not specified in these tables, (Moseley 2016, 35).

However, the *unit price of production* (p_i) of each commodity, including means of production, could be derived by dividing its total price of production (P_i) (as determined above) by the quantity of annual output produced in each industry (x_i) ($p_i = P_i / x_i$).[7] If commodity *i* is used as an input to the production of commodity *j*, then the *unit price of production of the input i* (e.g., a machine) could then be used to explain in part the actual constant capital that is taken as given in industry *j*: $C_j = p_i x_i + \ldots$; or if more than one unit of the input *i* is used (q_{ij}): $C_j = p_i a_{ij} x_j + \ldots$ (the "+ . . ." is to indicate other means of production in the production of good *j*).

Therefore, it is not true that "prices of production are determined by given prices of production" in my interpretation. The total annual price of production in an industry is determined by the given actual annual costs in that industry ($C_j + V_j$) and the general rate of profit. And the given actual annual costs in this industry can eventually be explained as dependent on the unit prices of production of the means of production that are used in that industry and also on the unit prices of production of the means of subsistence.

In conclusion, Laibman described my interpretation of Marx's theory as a "mess" (Laibman 2018b, 417). I think that this mis-judgment is because he has not sufficiently understood my interpretation. In particular, he continues to discuss my interpretation in terms of the standard interpretation of the "transformation" from micro values to micro prices of production rather than a transformation from macro total price and total surplus-value to micro prices of production and also in terms of physical quantities rather than monetary quantities. If my interpretation is

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correctly understood (macro-monetary), then my interpretation is logically coherent and is a straightforward logical deduction from macro variables to micro variables, as shown in the algebra above. Marx's micro theory of prices of production is logically consistent with his macro theory of the total surplus-value, and indeed the micro prices of production are derived from the macro theory of the total surplus-value.

Why continue to impose on Marx's theory an alien logical method (micro-micro-physical) that leads to a contradiction, when there is an alternative interpretation (macro-micro-monetary), with substantial textual evidence (as documented in my book) in which Marx's theory is logically consistent and there is no transformation problem? Why not the alternative interpretation?

Notes

1. The page number should be "27" instead of "28" in my previous paper (Moseley 2018).
2. This manuscript was published for the first time in German in the MEGA (Volume II/4.3) in 2012 (Marx [1867–1868] 2012).
3. Marx shows, for example, how in industries with longer than average turnover times, the same amount of capital will produce less surplus-value in a year and thus these industries must receive a what he called "profit supplement" in order to equalize their rate of profit with the general rate of profit. And *vice versa* for industries with shorter than average turnover times. I think this manuscript will open a new phase in the debate over the transformation problem and Marx's theory of prices of production.
4. It is also noteworthy that the cost price k (= c + v) is also *taken as given* throughout these pages and *k is the same* in the determination of both values and prices of production, which also supports my monetary interpretation of the initial given in Marx's theory.
5. In his conclusion, Laibman said that my recommendation in my last paper of deeper study of Marx's manuscripts is "not helpful" (Laibman 2018b, 418). However, these 35 pages in this recently published manuscript are a good example of the benefits of studying Marx's texts; they provide valuable textual evidence on important questions about Marx's theory: is the rate of profit determined prior to prices of production and the distribution of surplus-value? And how is the cost price determined and does the cost price change in the transformation?
6. This argument also implies that, in order for a transformation to be necessary or possible, the prices of inputs have to be equal to values (or at least not equal to prices of production) and then the prices of outputs are transformed into prices of production. But this argument imposes on Marx the logical error that he has long been accused of making: that input prices are not equal to output prices! And Laibman makes this a *necessary condition* for a transformation of values into prices of production.
7. Marx ([1863] 1977) briefly discussed unit prices in Section 1 of the "Results" manuscript. In this manuscript, Marx assumes that prices = values, but the point he makes about the determination of unit prices remains the same after prices of production have been determined—that unit prices of production for each commodity are determined by dividing the price of production of that industry (i.e., the gross annual industry revenue) by the quantity of annual output produced.

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